

Review

50%

27

Out of 54 points

1:59

Avg Time Per Question

Your Answers:

Vignette

Burton Howard, CFA, is an equity analyst with Maplewood Securities. Howard is preparing a research report on Confabulated Materials, SA, a publicly traded company based in France that complies with IFRS 9. As part of his analysis, Howard has assembled data gathered from the financial statement footnotes of Confabulated's 2018 Annual Report and from discussions with company management. Howard is concerned about the effect of this information on Confabulated's future earnings.

Information about Confabulated's investment portfolio for the years ended 31 December 2017 and 2018 is presented in Exhibit 1. As part of his research, Howard is considering the possible effect on reported income of Confabulated's accounting classification for fixed income investments.

Exhibit 1

Confabulated's Investment Portfolio (€ Thousands)

Characteristic	Bugle AG	Cathay Corp	Dumas SA
Classification	FVPL	FVOCI	Amortized cost
Cost*	€25,000	€40,000	€50,000
Market value, 31 December 2017	29,000	38,000	54,000
Market value, 31 December 2018	28,000	37,000	55,000

* All securities were acquired at par value.

In addition, Confabulated's annual report discusses a transaction under which receivables were securitized through a special purpose entity (SPE) for Confabulated's benefit.

1 Multiple Choice 0 / 1 point

The balance sheet carrying value of Confabulated's investment portfolio (in € thousands) at 31 December 2018 is *closest* to:

- ☐ A. 112,000.
- ☐ B. 115,000.
- ☒ C. 118,000.

Correct Answer: **B. 115,000.**

Feedback

B is correct. Under IFRS 9, FVPL and FVOCI securities are carried at market value, whereas amortized cost securities are carried at historical cost. $€28,000 + 37,000 + 50,000 = €115,000$.

2 Multiple Choice 1 / 1 point

The balance sheet carrying value of Confabulated's investment portfolio at 31 December 2018 would have been higher if which of the securities had been reclassified as FVPL security?

- ☐ A. Bugle.
- ☐ B. Cathay.
- ☒ C. Dumas.

Feedback

C is correct. If Dumas had been classified as a FVPL security, its carrying value would have been the €55,000 fair value rather than the €50,000 historical cost.

3 Multiple Choice 0 / 1 point

Compared to Confabulated's reported interest income in 2018, if Dumas had been classified as FVPL, the interest income would have been:

- ☐ A. lower.
- ☐ B. the same.

☒ C.
higher.

Correct Answer: **B. the same.**

Feedback

B is correct. The coupon payment is recorded as interest income whether securities are amortized cost or FVPL. No adjustment is required for amortization since the bonds were bought at par.

4 Multiple Choice 0 / 1 point

Compared to Confabulated's reported earnings before taxes in 2018, if Dumas had been classified as a FVPL security, the earnings before taxes (in € thousands) would have been:

☐ A. the same.

☒ B. €1,000
lower.

Correct Answer: **C. €1,000 higher.**

☐ C. €1,000 higher.

Feedback

C is correct. Unrealized gains and losses are included in income when securities are classified as FVPL. During 2018 there was an unrealized gain of €1,000.

5 Multiple Choice 0 / 1 point

Confabulated's reported interest income would be lower if the cost was the same but the par value (in € thousands) of:

☐ A. Bugle was €28,000.

☐ B. Cathay was €37,000.

☒ C. Dumas was
€55,000.

Correct Answer: **B. Cathay was €37,000.**

Feedback

B is correct. The difference between historical cost and par value must be amortized under the effective interest method. If the par value is less than the initial cost (stated

interest rate is greater than the effective rate), the interest income would be lower than the interest received because of amortization of the premium.



6

Multiple Choice 1 / 1 point

Confabulated's special purpose entity is *most likely* to be:



A. held off-balance sheet.



B. consolidated on Confabulated's financial statements.



C. consolidated on Confabulated's financial statements only if it is a "qualifying SPE."

Feedback

B is correct. Under IFRS, SPEs must be consolidated if they are conducted for the benefit of the sponsoring entity. Further, under IFRS, SPEs cannot be classified as qualifying. Under US GAAP, qualifying SPEs (a classification which has been eliminated) do not have to be consolidated.

Vignette

Cinnamon, Inc. is a diversified manufacturing company headquartered in the United Kingdom. It complies with IFRS. In 2017, Cinnamon held a 19 percent passive equity ownership interest in Cambridge Processing. In December 2017, Cinnamon announced that it would be increasing its ownership interest to 50 percent effective 1 January 2018 through a cash purchase. Cinnamon and Cambridge have no intercompany transactions.

Peter Lubbock, an analyst following both Cinnamon and Cambridge, is curious how the increased stake will affect Cinnamon's consolidated financial statements. He asks Cinnamon's CFO how the company will account for the investment, and is told that the decision has not yet been made. Lubbock decides to use his existing forecasts for both companies' financial statements to compare the outcomes of alternative accounting treatments.

Lubbock assembles abbreviated financial statement data for Cinnamon (Exhibit 1) and Cambridge (Exhibit 2) for this purpose.

Exhibit 1

Selected Financial Statement Information for Cinnamon, Inc. (£ Millions)

Year ending 31 December 2017 2018*

Revenue	1,400	1,575
Operating income	126	142
Net income	62	69

31 December 2017 2018*

Total assets	1,170	1,317
Shareholders' equity	616	685

* Estimates made prior to announcement of increased stake in Cambridge.

Exhibit 2

Selected Financial Statement Information for Cambridge Processing (£ Millions)

Year ending 31 December 2017 2018*

Revenue	1,000	1,100
Operating income	80	88
Net income	40	44
Dividends paid	20	22

31 December 2017 2018*

Total assets	800	836
Shareholders' equity	440	462

* Estimates made prior to announcement of increased stake by Cinnamon.

7 Multiple Choice 1 / 1 point

In 2018, if Cinnamon is deemed to have control over Cambridge, it will *most likely* account for its investment in Cambridge using:

☐ A. the equity method.



☒ B. the acquisition method.

☐ C. proportionate consolidation.

Feedback

B is correct. If Cinnamon is deemed to have control over Cambridge, it would use the acquisition method to account for Cambridge and prepare consolidated financial statements. Proportionate consolidation is used for joint ventures; the equity method is used for some joint ventures and when there is significant influence but not control.



8 Multiple Choice 1 / 1 point

At 31 December 2018, Cinnamon's total shareholders' equity on its balance sheet would *most likely* be:



☒ A. highest if Cinnamon is deemed to have control of Cambridge.

☐ B. independent of the accounting method used for the investment in Cambridge.

☐ C. highest if Cinnamon is deemed to have significant influence over Cambridge.

Feedback

A is correct. If Cinnamon is deemed to have control over Cambridge, consolidated financial statements would be prepared and Cinnamon's total shareholders' equity would increase and include the amount of the noncontrolling interest. If Cinnamon is deemed to have significant influence, the equity method would be used and there would be no change in the total shareholders' equity of Cinnamon.



9 Multiple Choice 1 / 1 point

In 2018, Cinnamon's net profit margin would be *highest* if:

☐ A. it is deemed to have control of Cambridge.

☐ B. it had not increased its stake in Cambridge.



☒ C. it is deemed to have significant influence over Cambridge.

Feedback

C is correct. If Cinnamon is deemed to have significant influence, it would report half of Cambridge's net income as a line item on its income statement, but no additional revenue is shown. Its profit margin is thus higher than if it consolidated Cambridge's results, which

would impact revenue and income, or if it only reported 19 percent of Cambridge's dividends (no change in ownership).

10 Multiple Choice 0 / 1 point

At 31 December 2018, assuming control and recognition of goodwill, Cinnamon's reported debt to equity ratio will *most likely* be highest if it accounts for its investment in Cambridge using the:



☒ A. equity method.

Correct Answer:

C. partial goodwill method.

- ☐ B. full goodwill method.
- ☐ C. partial goodwill method.

Feedback

C is correct. The full and partial goodwill method will have the same amount of debt; however, shareholders' equity will be higher under full goodwill (and the debt to equity ratio will be lower). Therefore, the debt to equity will be higher under partial goodwill. If control is assumed, Cinnamon cannot use the equity method.

11 Multiple Choice 1 / 1 point

Compared to Cinnamon's operating margin in 2017, if it is deemed to have control of Cambridge, its operating margin in 2018 will *most likely* be:



☒ A. lower.

- ☐ B. higher.
- ☐ C. the same.

Feedback

A is correct. Cambridge has a lower operating margin ($88/1,100 = 8.0\%$) than Cinnamon ($142/1,575 = 9.0\%$). If Cambridge's results are consolidated with Cinnamon's, the consolidated operating margin will reflect that of the combined company, or $230/2,675 = 8.6\%$.

Vignette

Zimt, AG is a consumer products manufacturer headquartered in Austria. It complies with IFRS. In 2017, Zimt held a 10 percent passive stake in Oxbow Limited. In December 2017, Zimt announced that it would be increasing its ownership to 50 percent effective 1 January 2018.

Franz Gelblum, an analyst following both Zimt and Oxbow, is curious how the increased stake will affect Zimt's consolidated financial statements. Because Gelblum is uncertain how the company will account for the increased stake, he uses his existing forecasts for both companies' financial statements to compare various alternative outcomes.

Gelblum gathers abbreviated financial statement data for Zimt (Exhibit 1) and Oxbow (Exhibit 2) for this purpose.

Exhibit 1

Selected Financial Statement Estimates for Zimt AG

(€ Millions)

Year ending 31 December	2017	2018*
Revenue	1,500	1,700
Operating income	135	153
Net income	66	75
31 December	2017	2018*
Total assets	1,254	1,421
Shareholders' equity	660	735

* Estimates made prior to announcement of increased stake in Oxbow.

Exhibit 2

Selected Financial Statement Estimates for Oxbow Limited

(€ Millions)

Year ending 31 December	2017	2018*
Revenue	1,200	1,350

Year ending 31 December 2017 2018*

Operating income	120	135
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Net income	60	68
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Dividends paid	20	22
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31 December 2017 2018*

Total assets	1,200	1,283
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Shareholders' equity	660	706
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* Estimates made prior to announcement of increased stake by Zimt.

12 Multiple Choice 1 / 1 point

At 31 December 2018, Zimt's total assets balance would *most likely* be:

☒ A. highest if Zimt is deemed to have control of Oxbow.

☐ B. highest if Zimt is deemed to have significant influence over Oxbow.

☐ C. unaffected by the accounting method used for the investment in Oxbow.

Feedback

A is correct. When a company is deemed to have control of another entity, it records all of the other entity's assets on its own consolidated balance sheet.

13 Multiple Choice 1 / 1 point

Based on Gelblum's estimates, if Zimt is deemed to have significant influence over Oxbow, its 2018 net income (in € millions) would be *closest* to:

☐ A. €75.

☒ B. €109.

☐ C. €143.

Feedback

B is correct. If Zimt is deemed to have significant influence, it would use the equity method to record its ownership. Under the equity method, Zimt's share of Oxbow's net income would be recorded as a single line item. Net income of Zimt = $75 + 0.5(68) = 109$.

14 Multiple Choice 0 / 1 point

Based on Gelblum's estimates, if Zimt is deemed to have joint control of Oxbow, and Zimt uses the proportionate consolidation method, its 31 December 2018 total liabilities (in € millions) will *most likely* be *closest* to:

☐ A. €686.

☐ B. €975.

☒ C. €1,263.

Correct Answer: B. €975.

Feedback

B is correct. Under the proportionate consolidation method, Zimt's balance sheet would show its own total liabilities of $€1,421 - 735 = €686$ plus half of Oxbow's liabilities of $€1,283 - 706 = €577$. $€686 + (0.5 \times 577) = €974.5$.

15 Multiple Choice 1 / 1 point

Based on Gelblum's estimates, if Zimt is deemed to have control over Oxbow, its 2018 consolidated sales (in € millions) will be *closest* to:

☐ A. €1,700.

☐ B. €2,375.

☒ C. €3,050.

Feedback

C is correct. Under the assumption of control, Zimt would record its own sales plus 100 percent of Oxbow's. $€1,700 + 1,350 = €3,050$.

16 Multiple Choice 1 / 1 point

Based on Gelblum's estimates, and holding the size of Zimt's ownership stake in Oxbow constant, Zimt's net income in 2018 will *most likely* be:

- ☐ A. highest if Zimt is deemed to have control of Oxbow.
- ☐ B. highest if Zimt is deemed to have significant influence over Oxbow.
- ☒ C. independent of the accounting method used for the investment in Oxbow.

Feedback

C is correct. Net income is not affected by the accounting method used to account for active investments in other companies. "One-line consolidation" and consolidation result in the same impact on net income; it is the disclosure that differs.

Vignette

BetterCare Hospitals, Inc. operates a chain of hospitals throughout the United States. The company has been expanding by acquiring local hospitals. Its largest acquisition, that of Statewide Medical, was made in 2001 under the pooling of interests method. BetterCare complies with US GAAP.

BetterCare is currently forming a 50/50 joint venture with Supreme Healthcare under which the companies will share control of several hospitals. BetterCare plans to use the equity method to account for the joint venture. Supreme Healthcare complies with IFRS and will use the proportionate consolidation method to account for the joint venture.

Erik Ohalin is an equity analyst who covers both companies. He has estimated the joint venture's financial information for 2018 in order to prepare his estimates of each company's earnings and financial performance. This information is presented in Exhibit 1.

Exhibit 1

Selected Financial Statement Forecasts for Joint Venture (\$ Millions)

Year ending 31 December 2018

Revenue	1,430
Operating income	128
Net income	62

31 December 2018

Total assets	1,500
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Year ending 31 December 2018

Shareholders' equity 740

Supreme Healthcare recently announced it had formed a special purpose entity through which it plans to sell up to \$100 million of its accounts receivable. Supreme Healthcare has no voting interest in the SPE, but it is expected to absorb any losses that it may incur. Ohalin wants to estimate the impact this will have on Supreme Healthcare's consolidated financial statements.

17 Multiple Choice 0 / 1 point

Based on Ohalin's estimates, the amount of joint venture revenue (in \$ millions) included on BetterCare's consolidated 2018 financial statements should be *closest* to:

☐ A. \$0.☒ B. \$715.

Correct Answer: A. \$0.

☐ C. \$1,430.**Feedback**

A is correct. Under the equity method, BetterCare would record its interest in the joint venture's net profit as a single line item, but would show no line-by-line contribution to revenues or expenses.

18 Multiple Choice 1 / 1 point

Based on Ohalin's estimates, the amount of joint venture net income included on the consolidated financial statements of each venturer will *most likely* be:

☐ A. higher for BetterCare.☐ B. higher for Supreme Healthcare.☒ C. the same for both BetterCare and Supreme Healthcare.**Feedback**

C is correct. Net income will be the same under the equity method and proportional consolidation. However, sales, cost of sales, and expenses are different because under the equity method the net effect of sales, cost of sales, and expenses is reflected in a single line.

19 Multiple Choice 1 / 1 point

Based on Ohalin's estimates, the amount of the joint venture's 31 December 2018 total assets (in \$ millions) that will be included on Supreme Healthcare's consolidated financial statements will be *closest* to:

☐ A. \$0.

☒ B. \$750.

☐ C. \$1,500.

Feedback

B is correct. Under the proportionate consolidation method, Supreme Healthcare's consolidated financial statements will include its 50 percent share of the joint venture's total assets.

20 Multiple Choice 1 / 1 point

Based on Ohalin's estimates, the amount of joint venture shareholders' equity at 31 December 2018 included on the consolidated financial statements of each venturer will *most likely* be:

☐ A. higher for BetterCare.

☐ B. higher for Supreme Healthcare.

☒ C. the same for both BetterCare and Supreme Healthcare.

Feedback

C is correct. The choice of equity method or proportionate consolidation does not affect reported shareholders' equity.

21 Multiple Choice 0 / 1 point

If Supreme Healthcare sells its receivables to the SPE, its consolidated financial results will *least likely* show:

☐ A. a higher revenue for 2018.

☒ B. the same cash balance at 31 December 2018.

Correct Answer: **A. a higher revenue for 2018.**

- ☐ C. the same accounts receivable balance at 31 December 2018.

Feedback

A is correct. Revenue will not be higher for 2018 because Supreme Healthcare controls the SPE and thus eliminates intra-entity transactions and balances in consolidation. Consolidated revenue will thus present the results as if this transaction did not occur.

Vignette

John Thronen is an analyst in the research department of an international securities firm. Thronen is preparing a research report on Topmaker, Inc., a publicly-traded company that complies with IFRS. Thronen reviews two of Topmaker's recent transactions relating to investments in Blanco Co. and Rainer Co.

Investment in Blanca Co.

On 1 January 2016, Topmaker invested \$11 million in Blanca Co. debt securities (with a 5.0% stated coupon rate on par value, payable each 31 December). The par value of the securities is \$10 million, and the market interest rate in effect when the bonds were purchased was 4.0%. Topmaker designates the investment as held-to-maturity. On 31 December 2016, the fair value of the securities was \$12 million.

Blanca Co. plans to raise \$40 million in capital by borrowing against its financial receivables. Blanca plans to create a special purpose entity (SPE), invest \$10 million in the SPE, have the SPE borrow \$40 million, and then use the total funds to purchase \$50 million of receivables from Blanca. Blanca meets the definition of control and plans to consolidate the SPE. Blanca's current balance sheet is presented in Exhibit 1.

Exhibit 1

Blanca Co. Balance Sheet at 31 December 2016 (\$ millions)

Cash	20	Current liabilities	25
Accounts receivable	50	Noncurrent liabilities	30
Other assets	30	Shareholders' equity	45
Total assets	100	Total liabilities and equity	100

Investment in Rainer Co.

On 1 January 2016, Topmaker acquired a 15% equity interest with voting power in Rainer Co. for \$300 million. Exhibit 2 presents selected financial information for Rainer on the acquisition date.

Thronen notes that the plant and equipment are depreciated on a straight-line basis and have 10 years of remaining life. Topmaker has representation on Rainer's board of directors and participates in the associate's policy-making process.

Exhibit 2

Selected Financial Data for Rainer Co., 1 January 2016 (Acquisition Date) (\$ millions)

	Book Value	Fair Value
Current assets	270	270
Plant and equipment	2,900	3,160
Total assets	3,170	3,430
Liabilities	1,830	1,830
Net assets	1,340	1,600

Thronen notes that, for fiscal year 2016, Rainer reported total revenue of \$1,740 million and net income of \$360 million, and paid dividends of \$220 million.

Thronen is concerned about possible goodwill impairment for Topmaker due to expected changes in the industry effective at the end of 2017. He calculates the impairment loss based on selected data from the projected consolidated balance sheet data presented in Exhibit 3, assuming that the cash-generating unit and reporting unit of Topmaker are the same.

Exhibit 3

Selected Financial Data for Topmaker, Inc., Estimated Year Ending 31 December 2017 (\$ millions)

Carrying value of cash-generating unit/reporting unit	15,200
Recoverable amount of cash-generating unit/reporting unit	14,900
Fair value of reporting unit	14,800
Identifiable net assets	14,400

Goodwill

520

Finally, Topmaker announces its plan to increase its ownership interest in Rainer to 80% effective 1 January 2018 and will account for the investment in Rainer using the partial goodwill method. Thronen estimates that the fair market value of the Rainer's shares on the expected date of exchange is \$2 billion with the identifiable assets valued at \$1.5 billion.

22 Multiple Choice 1 / 1 point

The carrying value of Topmaker's investment in Blanca's debt securities reported on the balance sheet at 31 December 2016 is:

☒ A. \$10.94 million.

☐ B. \$11.00 million.

☐ C. \$12.00 million.

Feedback

A is correct. Since the investment is designated as held-to-maturity, it is reported at amortized cost at 31 December 2016 using the effective interest method where the amortization is calculated as the difference between the amount received and the interest income.

The interest payment each period is \$500,000, which is calculated as the product of the par value of \$10 million and the stated 5% coupon rate. The interest income of \$440,000 is the product of the 4.0% market rate in effect when the bonds were purchased and the initial fair value of \$11 million. The difference between the interest payment of \$500,000 and the interest income of \$440,000, equal to \$60,000, is the amortization amount for 2016.

So, the initial fair value of \$11 million is reduced by the amortization amount of \$60,000, resulting in an amortized cost of \$10.94 million at 31 December 2016.

23 Multiple Choice 1 / 1 point

Based on Exhibit 1 and Blanca's plans to borrow against its financial receivables, the new consolidated balance sheet will show total assets of:

☐ A. \$50 million.

☒ B. \$140 million.

☐ C. \$150 million.

Feedback

B is correct. The SPE balance sheet will show accounts receivable of \$50 million, long-term debt of \$40 million and equity of \$10 million. When the balance sheets of Blanca and the SPE are consolidated, Blanca's cash will increase by \$40 million due to the sale of the receivables to the SPE (net of its \$10 million cash investment in the SPE). Long-term debt (non-current liabilities) will also increase by \$40 million. So, the consolidated balance sheet will show total assets of \$140 million and will look the same as if Blanca borrowed directly against the receivables.

Blanca Co. Current Balance Sheet (before consolidation)

Cash	20	Current liabilities	25
Accounts receivable	50	Noncurrent liabilities	30
Other assets	30	Shareholders' equity	45
Total assets	100	Total liabilities and equity	100

SPE Balance Sheet (\$ Millions)

		Long-term debt	\$40
Accounts receivable	\$50	Equity	\$10
Total assets	\$50	Total liabilities and equity	\$50

Blanca Co. Consolidated Balance Sheet (\$ Millions)

Cash	\$60	Current liabilities	\$25
Accounts receivable	\$50	Noncurrent liabilities	\$70
Other assets	\$30	Shareholder's equity	\$45
Total assets	\$140	Total liabilities and equity	\$140

24 Multiple Choice 0 / 1 point

Based on Exhibit 2, Topmaker's investment in Rainer resulted in goodwill of:

☐ A. \$21 million.

☐ B. \$60 million.

☒ C. \$99 million.

Correct Answer: **B. \$60 million.**

Feedback

B is correct. The goodwill in Topmaker's \$300 million purchase of Rainer's common shares using the equity method is \$60 million, calculated as:

	\$ Millions
Purchase price	\$300
Less: 15% of book value of Rainer: (15% x \$1,340)	201
Excess purchase price	99
Attributable to net assets	39
Plant and equipment (15% x (\$3,160 – \$2,900))	
Goodwill (residual)	60
	99

25 Multiple Choice 1 / 1 point

Topmaker's influence on Rainer's business activities can be *best* described as:

☒ A. significant.

☐ B. controlling.

☐ C. shared control.

Feedback

A is correct. Topmaker's representation on the Rainer board of directors and participation in Rainer's policymaking process indicate significant influence. Significant influence is generally assumed when the percentage of ownership interest is between 20% and 50%. Topmaker's representation on the board of directors and participation in the policymaking process, however, demonstrate significant influence despite its 15% equity interest.

26 Multiple Choice 0 / 1 point

Using only the information from Exhibit 2, the carrying value of Topmaker's investment in Rainer at the end of 2016 is *closest* to:

☐ A. \$282 million.

☐ B. \$317 million.

☒ C. \$321 million.

Correct Answer: **B. \$317 million.**

Feedback

B is correct. The carrying value of Topmaker's investment in Rainer using the equity method is \$317 million and is calculated as:

	\$ Millions
Purchase price	\$300
Plus: Topmaker's share of Rainer's net income (15% x \$360)	54
Less: Dividends received (15% x \$220)	33
Less: Amortization of excess purchase price attributable to plant and equipment (15% x (\$3,160 – \$2,900)) / 10 years	3.9
Investment in associate (Rainer) at the end of 2016	\$317.1

27 Multiple Choice 0 / 1 point

Based on Exhibit 3, Topmaker's impairment loss under IFRS is:

☒ A. \$120 million.

Correct
Answer:

B. \$300 million.

- ☐ B. \$300 million.
- ☐ C. \$400 million.

Feedback

B is correct. The goodwill impairment loss under IFRS is \$300 million, calculated as the difference between the recoverable amount of a cash-generating unit and the carrying value of the cash-generating unit. Topmaker's recoverable amount of the cash-generating unit is \$14,900 million, which is less than the carrying value of the cash-generating unit of \$15,200 million. This results in an impairment loss of \$300 million (\$14,900 – \$15,200).

28 Multiple Choice 1 / 1 point

Based on Thronen's value estimates on the acquisition date of 1 January 2018, the estimated value of the minority interest related to Rainer will be:

- ☒ A. \$300 million.
- ☐ B. \$400 million.
- ☐ C. \$500 million.

Feedback

A is correct. According to IFRS, under the partial goodwill method, the value of the minority interest is equal to the non-controlling interest's proportionate share of the subsidiary's identifiable net assets. Rainer's proportionate share is 20% and the value of its identifiable assets on the acquisition date is \$1.5 billion. The value of the minority interest is \$300 million (20% x \$1.5 billion).

Vignette

Percy Byron, CFA, is an equity analyst with a UK-based investment firm. One firm Byron follows is NinMount PLC, a UK-based company. On 31 December 2018, NinMount paid £320 million to purchase a 50 percent stake in Boswell Company. The excess of the purchase price over the fair value of Boswell's net assets was attributable to previously unrecorded licenses. These licenses were estimated to have an economic life of six years. The fair value of Boswell's assets and liabilities other than licenses was equal to their recorded book values. NinMount and Boswell both use the pound sterling as their reporting currency and prepare their financial statements in accordance with IFRS.

Byron is concerned whether the investment should affect his "buy" rating on NinMount common stock. He knows NinMount could choose one of several accounting methods to report the results of its investment, but NinMount has not announced which method it will use. Byron forecasts that

both companies' 2019 financial results (excluding any merger accounting adjustments) will be identical to those of 2018.

NinMount's and Boswell's condensed income statements for the year ended 31 December 2018, and condensed balance sheets at 31 December 2018, are presented in Exhibits 1 and 2, respectively.

Exhibit 1

NinMount PLC and Boswell Company Income Statements for the Year Ended 31 December 2018 (£ millions)

	NinMount	Boswell
Net sales	950	510
Cost of goods sold	(495)	(305)
Selling expenses	(50)	(15)
Administrative expenses	(136)	(49)
Depreciation & amortization expense	(102)	(92)
Interest expense	(42)	(32)
Income before taxes	125	17
Income tax expense	(50)	(7)
Net income	75	10

Exhibit 2

NinMount PLC and Boswell Company Balance Sheets at 31 December 2018 (£ millions)

	NinMount	Boswell
Cash	50	20
Receivables—net	70	45

	NinMount	Boswell
Inventory	130	75
Total current assets	250	140
Property, plant, & equipment—net	1,570	930
Investment in Boswell	320	—
Total assets	2,140	1,070
Current liabilities	110	90
Long-term debt	600	400
Total liabilities	710	490
Common stock	850	535
Retained earnings	580	45
Total equity	1,430	580
Total liabilities and equity	2,140	1,070

Note: Balance sheets reflect the purchase price paid by NinMount, but do not yet consider the impact of the accounting method choice.

29 Multiple Choice 1 / 1 point

NinMount's current ratio on 31 December 2018 *most likely* will be highest if the results of the acquisition are reported using:

- ☒ A. the equity method.
- ☐ B. consolidation with full goodwill.
- ☐ C. consolidation with partial goodwill.

Feedback

A is correct. The current ratio using the equity method of accounting is $\text{Current assets} / \text{Current liabilities} = £250 / £110 = 2.27$. Using consolidation (either full or partial goodwill), the current ratio = $£390 / £200 = 1.95$. Therefore, the current ratio is highest using the equity method.

30 Multiple Choice 1 / 1 point

NinMount's long-term debt to equity ratio on 31 December 2018 *most likely* will be lowest if the results of the acquisition are reported using:



☒ A. the equity method.

☐ B. consolidation with full goodwill.

☐ C. consolidation with partial goodwill.

Feedback

A is correct. Using the equity method, long-term debt to equity = $\text{£}600/\text{£}1,430 = 0.42$. Using the consolidation method, long-term debt to equity = long-term debt/equity = $\text{£}1,000/\text{£}1,750 = 0.57$. Equity includes the $\text{£}320$ noncontrolling interest under either consolidation. It does not matter if the full or partial goodwill method is used since there is no goodwill.

31 Multiple Choice 1 / 1 point

Based on Byron's forecast, if NinMount deems it has acquired control of Boswell, NinMount's consolidated 2019 depreciation and amortization expense (in £ millions) will be *closest* to:

☐ A. 102.

☐ B. 148.



☒ C. 204.

Feedback

C is correct. The projected depreciation and amortization expense will include NinMount's reported depreciation and amortization ($\text{£}102$), Boswell's reported depreciation and amortization ($\text{£}92$), and amortization of Boswell's licenses ($\text{£}10$ million). The licenses have a fair value of $\text{£}60$ million. $\text{£}320$ purchase price indicates a fair value of $\text{£}640$ for the net assets of Boswell. The net book (fair) value of the recorded assets is $\text{£}580$. The previously unrecorded licenses have a fair value of $\text{£}60$ million. The licenses have a remaining life of six years; the amortization adjustment for 2018 will be $\text{£}10$ million. Therefore, Projected depreciation and amortization = $\text{£}102 + \text{£}92 + \text{£}10 = \text{£}204$ million.

32 Multiple Choice 1 / 1 point

Based on Byron's forecast, NinMount's net profit margin for 2019 *most likely* will be highest if the results of the acquisition are reported using:



☒ A. the equity method.

- ☐ B. consolidation with full goodwill.
- ☐ C. consolidation with partial goodwill.

Feedback

A is correct. Net income attributable to shareholders of the parent is the same using any of the methods but under the equity method, net sales are only £950; Boswell's sales are not included in the net sales figure. Therefore, net profit margin is highest using the equity method.

33 Multiple Choice 1 / 1 point

Based on Byron's forecast, NinMount's 2019 return on beginning equity *most likely* will be the same under:

- ☒ A. either of the consolidations, but different under the equity method.
- ☐ B. the equity method, consolidation with full goodwill, and consolidation with partial goodwill.
- ☐ C. none of the equity method, consolidation with full goodwill, or consolidation with partial goodwill.

Feedback

A is correct. Net income attributable to shareholders of the parent is the same using any of the choices. Beginning equity under the equity method is £1,430. Under either of the consolidations, beginning equity is £1,750 since it includes the £320 noncontrolling interest. Return on beginning equity is highest under the equity method.

34 Multiple Choice 0 / 1 point

Based on Byron's forecast, NinMount's 2019 total asset turnover ratio on beginning assets under the equity method is *most likely*:

- ☐ A. lower than if the results are reported using consolidation.
- ☐ B. the same as if the results are reported using consolidation.

☒ C. higher than if the results are reported using consolidation.

Correct Answer:

A. lower than if the results are reported using consolidation.

Feedback

A is correct. Using the equity method, Total asset turnover = Net sales/Beginning total assets = £950/£2,140 = 0.444. Total asset turnover on beginning assets using

consolidation = $\text{£}1,460/\text{£}2,950 = 0.495$. Under consolidation, Assets = $\text{£}2,140 - 320 + 1,070 + 60 = \text{£}2,950$. Therefore, total asset turnover is lowest using the equity method.

Vignette

Albert Strong, a junior metals analyst at Goodson Funds, was reviewing the history of AdOre Ventures, a Peruvian gold mining company. Cupernico, Inc., Strawberry Mines Corp., and Glace, S.A., were global gold mining companies. Cupernico and Strawberry were both headquartered in the United States and complied with US GAAP. Glace was a French company that followed International Financial Reporting Standards (IFRS). All companies' fiscal years ended on 31 December.

On 1 January of the prior year, the three companies combined their Peruvian operations into a separate company, AdOre Ventures. The fair value of assets contributed by each company was in proportion to its ownership interest as shown in Exhibit 1. Cupernico was considered to have control over AdOre because of its ownership interest and representation on AdOre's board of directors. Both Strawberry Mines and Glace were considered to have significant influence. At the time the operations were combined, the fair value of each company's assets was equal to their respective reported (book) values.

Exhibit 1 AdOre Ownership Structure

Cupernico: 50%
Strawberry Mines Corp.: 32%
Glace: 18%

On 1 January of the current year, Glace acquired Strawberry Mines. Given AdOre's relatively brief operating history, Glace determined that the fair value of assets remained equal to the value at which they were carried on AdOre's books. Because the merger left Glace and Cupernico with equal economic interests in AdOre, the two companies negotiated a joint control agreement. Selected financial data related to AdOre are presented in Exhibit 2. Because gold prices are set globally in US dollars, AdOre's functional currency is the US dollar.

Exhibit 2 Selected Financial Results for AdOre (\$ thousands)

	Current Year	Prior Year
Revenue	103,448	63,546
Net income	30,000	18,182
Annual dividend (paid on 31 December)	16,000	10,000
Cash flow from operations	35,466	21,818
Long-term debt (31 December)	40,000	40,000
Beginning equity (1 January)	47,378	39,196
Ending equity (31 December)	61,378	47,378

Strong wondered how the current year merger might have affected Cupernico's financial statements and ratios. He compared its actual ratios with what they would have been had the merger not taken place.

35 Multiple Choice 1 / 1 point

For the prior year, the *most* appropriate method for Glace to use to account for its investment in AdOre was:



- ☒ the equity method.

Correct Answer Feedback: Correct. In the prior year, although Glace had less than 20% ownership interest in AdOre, it was considered to have significant influence, which required the equity method under both US GAAP and IFRS.

- ☐ fair value through profit and loss.

Incorrect Answer Feedback: Incorrect because in the prior year Glace was considered to have significant influence (even though less than 20% ownership) and had to use the equity method.

- ☐ fair value through other comprehensive income.

Incorrect Answer Feedback: Incorrect because in the prior year Glace was considered to have significant influence (even though less than 20% ownership) and had to use the equity method.

36 Multiple Choice 1 / 1 point

On its prior year income statement, the amount of AdOre's net income that Strawberry Mines reported was *closest* to (in thousands):

- ☐ \$2,618.

Incorrect Answer Feedback: Incorrect. It deducts the dividend income from the investment income whereas dividends reduce the investment account on the balance sheet, i.e., $32\% \times (\$18,182 - \$10,000) = \$2,618$

- ☐ \$3,200.

Incorrect Answer Feedback: Incorrect. This is Strawberry's share of dividends ($32\% \times 10,000 = \$3,200$) rather than net income, and would only be reported as income if classified as a non-strategic investment.



- ☒ \$5,818.

Correct Answer Feedback: Correct. In the prior year, Strawberry Mines used the equity method because it exercised significant influence and owned 32% of AdOre. Under the equity method, it should recognize its percentage share ($32\% \times \$18,182 = \$5,818.2$) of AdOre's net income.

37 Multiple Choice 0 / 1 point

Which of the following amounts (in thousands) from AdOre would *most likely* be included on the prior year financial statements of Cupernico?

- ☐ \$23,689 of equity

Incorrect Answer Feedback: Incorrect. The amount represents 50% of AdOre's ending equity: $50\% \times \$47,378 = \$23,689$. Under consolidation, none of the subsidiary's equity is included in the consolidated financial statements of the parent.



- ☐ \$31,773 of revenue

Incorrect Answer Feedback: Incorrect. This amount is 50% of AdOre's revenue: $50\% \times \$63,546 = \$31,773$; Cupernico should include 100% of the revenue under consolidation.



- ☐ \$40,000 of long-term debt

Correct Answer Feedback: Correct. In the prior year, Cupernico had a controlling interest in AdOre and would have used the consolidation method. Under consolidation, companies combine all of the assets, liabilities, revenues, and expenses of subsidiaries with those of the parent. Therefore, Cupernico would have included \$40,000 (100%) of AdOre's long-term debt.

38 Multiple Choice 0 / 1 point

The *best* conclusion Strong can make about the effect of AdOre's current year ownership change is that Cupernico would have reported a:

☒ lower net profit margin.

Incorrect Answer Feedback: Incorrect, as per table.

	Equity Method (Joint Control)	Consolidation (Control)	Comparison
Net income (NI)	Includes 50% of AdOre's net income as investment income	Once non-controlling interest is deducted, the net effect is that 50% of AdOre's net income is included	Same
Revenues	Includes only Cupernico's	Includes 100% of AdOre's plus Cupernico's	Lower under equity
Net profit margin = NI/Revenues			Higher under equity method because of lower revenues (after the change)
Equity	Includes only Cupernico's	Includes Cupernico's plus the non-controlling interest of AdOre	Lower under equity
ROE = NI/Equity			Higher under equity method because of lower equity
Total assets	Includes 50% of net assets of AdOre as Investment	Includes 100% of AdOre's assets added to Cupernico's	Lower under equity
ROA = NI/Assets			Higher under equity method because of lower assets

☐ lower return on assets (ROA).

Incorrect Answer Feedback: Incorrect, as per table.

	Equity Method (Joint Control)	Consolidation (Control)	Comparison
Net income (NI)	Includes 50% of AdOre's net income as investment income	Once non-controlling interest is deducted, the net effect is that 50% of AdOre's net income is included	Same
Revenues	Includes only Cupernico's	Includes 100% of AdOre's plus Cupernico's	Lower under equity
Net profit margin = NI/Revenues			Higher under equity method because of lower revenues (after the change)
Equity	Includes only Cupernico's	Includes Cupernico's plus the non-controlling interest of AdOre	Lower under equity
ROE = NI/Equity			Higher under equity method because of lower equity
Total assets	Includes 50% of net assets of AdOre as Investment	Includes 100% of AdOre's assets added to Cupernico's	Lower under equity
ROA = NI/Assets			Higher under equity method because of lower assets

☐ higher return on equity (ROE).

Correct Answer Feedback: Correct. In the current year, Cupernico and Glace shared joint control. Cupernico must use the equity method under US GAAP; if the ownership structure had not changed, Cupernico would have continued to use the consolidation method.

	Equity Method (Joint Control)	Consolidation (Control)	Comparison
Net income (NI)	Includes 50% of AdOre's net income as investment income	Once non-controlling interest is deducted, the net effect is that 50% of AdOre's net income is included	Same
Revenues	Includes only Cupernico's	Includes 100% of AdOre's plus Cupernico's	Lower under equity
Net profit margin = NI/Revenues			Higher under equity method because of lower revenues (after the change)
Equity	Includes only Cupernico's	Includes Cupernico's plus the non-controlling interest of AdOre	Lower under equity
ROE = NI/Equity			Higher under equity method because of lower equity
Total assets	Includes 50% of net assets of AdOre as Investment	Includes 100% of AdOre's assets added to Cupernico's	Lower under equity
ROA = NI/Assets			Higher under equity method because of lower assets

Vignette

Javier Casado, an analyst who manages funds for high-net-worth investors, is evaluating Bardem S.A. (Bardem) as a possible addition to a large investment portfolio. Bardem, based in Madrid, Spain, is a manufacturing firm that specializes in packaging materials. The company reports using IFRS, and its reporting currency is the Euro.

Casado learns that Bardem acquired a 25% stake in Ariana Shipping S.A. (Ariana) on 1 January 2020. Ariana, which is based in Greece, has bought packaging supplies from Bardem in the past based on catalog prices. Casado believes that the purchase will change the relationship between the two companies and will also affect Bardem's financial reporting. He mentions to a coworker, Ana Domingues, that the price paid by Bardem for the Ariana shares was €80 million.

Domingues tells Casado that Bardem's purchase of Ariana's equity will likely allow Bardem to influence Ariana's financial and operating performance. As a result, she states, Bardem will be

required to use the equity method of accounting for this investment. Casado replies that the equity method of accounting is only required under IFRS for joint ventures or when the investee holds a seat on the associate's board of directors.

Bardem prepares the following table to examine the purchase more closely.

Exhibit 1 Book Values and Fair Values of Ariana Shipping Assets and Liabilities as of 31 December 2019 (€ millions)

	Book Value	Fair Value
Current assets	15	15
Plant and equipment	230	275
Land	100	115
	345	405
Liabilities	110	110
Net assets	235	295

Domingues says that she is concerned that Bardem didn't sufficiently investigate Ariana before the purchase, given economic uncertainty surrounding Greek companies. She asks Casado what will happen to Bardem's financial statements if the value of Ariana is permanently impaired due to business losses or other demonstrable events. Casado replies that if the equity method is not required, then there will be no impact. However, if the equity method is used, he states:

1. Goodwill must be separately tested for impairment.
2. Impairment losses should be recognized on the income statement.
3. Impairment losses exceeding the goodwill value are allocated pro-rata to the unit's non-cash assets.

Domingues informs Casado of a final piece of information relevant to his evaluation. To increase liquidity, Bardem is considering borrowing €70M against accounts receivable. As an alternative to borrowing, they could securitize the receivables by creating a special purpose entity (SPE) over which they would exercise control. To do so, they would invest €5M in the SPE. The SPE would then borrow €70M, and would buy €75M in receivables from Bardem. Domingues comments that securitization using an SPE would impact Bardem's reported financial condition in three ways. It would:

1. reduce the cost of borrowing.
2. increase the level of current assets.
3. improve balance sheet ratios.

39 Multiple Choice 1 / 1 point

In the discussion about using the equity method to account for Bardem's purchase of Ariana, which statement is *most* accurate? The statement by:

☒ Domingues.

Correct Answer Feedback: Correct. Domingues' statement that Bardem will be required to use the equity method is accurate. The equity method of accounting is required when an investor holds 20% to 50% of the voting rights of an associate unless circumstances clearly demonstrate that the investor cannot exercise significant influence. Holding a seat on the board is a factor to consider, but is not required to demonstrate influence.

☐ Casado concerning joint ventures.

Incorrect Answer Feedback: Incorrect. Although the equity method is required for joint ventures, it is also required for investments in associates.

☐ Casado concerning board of directors' positions.

Incorrect Answer Feedback: Incorrect. Representation on the board is one way of exerting influence, but there are other ways that influence can be evidenced.

40 Multiple Choice 0 / 1 point

If Bardem does use the equity method of accounting for its purchase of Ariana, using Exhibit 1, the value of goodwill, in millions, arising from the purchase is *closest* to:

☐ €6.25.

Correct Answer Feedback: Correct. Bardem's purchase price for Ariana will include goodwill of €6.25 per the calculation below. Under the equity method the goodwill is included in the investment amount on Bardem's balance sheet.

Cost of the acquisition (€ millions)		80.00
Less:		
Fair value of net identifiable assets	295	
Bardem's share thereof	25%	
$295 \times 25\%$		73.75
Goodwill		6.25

☐ €15.00.

Incorrect Answer Feedback: Incorrect. It uses the amount attributable to increase of fair value over book value of net assets, multiplied by proportionate share: $(295,000 - 235,000) \times 0.25 = 60,000 \times 0.25 = €15,000$.

☒ €21.25.

Incorrect Answer Feedback: Incorrect. This is the value if they use the BV of Ariana's net assets: $80 - (0.25 \times 235) = 21.25$.

41 Multiple Choice 0 / 1 point

Which of Casado's three statements regarding the potential impairment of the investment in Ariana is *most* accurate? Statement:

☐ 1

Incorrect Answer Feedback: Incorrect. IFRS includes goodwill in the carrying value of the investment, so it is not separately tested for impairment.

☒ 2

Correct Answer Feedback: Correct. Both IFRS and US GAAP require that impairment losses on equity method investments be recognized in the income statement.

☒ 3

Incorrect Answer Feedback: Incorrect. Impairment losses exceeding goodwill are allocated pro-rata to the unit's non-cash assets.

42 Multiple Choice 0 / 1 point

If Bardem creates a special purpose entity rather than borrowing against its receivables, which of Domingues' comments is *most* accurate? Comment:

☐ 1

Correct Answer Feedback: Correct. Bardem's cost of borrowing through the SPE is likely to decrease, because the SPE is bankruptcy remote from Bardem, and the lenders will have a direct claim on the receivables, thus allowing the SPE to borrow at preferred rates.

☐ 2

Incorrect Answer Feedback: Incorrect. Bardem's accounts receivable will decrease by €75M, while its cash will increase by €70M (€75M cash from the sale of receivables less €5M to set up the SPE). After consolidation, those changes are reversed and the consolidated balance sheet will be identical to the balance sheet under receivables borrowing.

☒ 3

Incorrect Answer Feedback: Incorrect because both IFRS and US GAAP will require the SPE to be consolidated into Bardem's balance sheet. The result is that the consolidated balance sheet will be identical to the balance sheet under receivables borrowing, and there will be no change in the ratios.

Vignette

Robert Krey is a financial analyst who is evaluating the financial statements of Ernst AG, a German manufacturing company that reports under IFRS. During the current year, Ernst invested in three different companies (Astrid, Balto, and Cordeau) that are based in the eurozone. All three investments were acquired on 1 January of the current year. Krey wants to determine the effect of these investments on Ernst's current year financial statements and ratios.

Ernst purchased a 10% ownership interest in Astrid for €90 million. During the current year, Astrid reported €80 million in pre-tax income and paid €40 million in dividends. The fair value of Astrid shares at 31 December of the current year was €970 million. Ernst accounts for Astrid by using the fair value through profit or loss (FVPL) method.

A 25% ownership interest in Balto was purchased for €500 million. The fair values of all Balto's assets and liabilities were equal to their book values except for equipment which was undervalued by €40 million. The undervalued equipment has a remaining useful life of 5 years and will be fully depreciated by using the straight-line method. Ernst has significant influence over Balto but it does not have control. During the current year, Balto reported €140 million in income and paid €40 million in dividends.

For Cordeau, Ernst exchanged €1,800 million in shares to acquire a 75% controlling interest in Cordeau. The book value of Cordeau on 1 January was €2,000 million. On that date, Cordeau's inventory was undervalued by €60 million. All other recorded assets and liabilities were equal to their fair values. Cordeau applies the FIFO inventory valuation method and Ernst uses the partial goodwill method when it consolidates Cordeau. Cordeau's primary competitor is a US company that reports under US GAAP. For the current year, Cordeau reported net income of €240 million and paid €40 million in dividends.

43 Multiple Choice 0 / 1 point

For the current year, Ernst reported pre-tax income from Astrid in the amount of:

☒ €4 million.

✗

Incorrect Answer Feedback: Incorrect because this is only the dividend income from Astrid. This would be a correct answer if Ernst accounted for Astrid by using the fair value through other comprehensive income (FVOCI) method. Under FVOCI, any unrealized gains or losses bypass the income statement and are reported as other comprehensive income.

☐ €8 million.

Incorrect Answer Feedback: Incorrect because €8 million would only be correct if Ernst had significant influence over Astrid and thereby used the equity method of accounting (reported pre-tax income of €80 million $\times$ 10%).

✓

☒ €11 million.

Correct Answer Feedback: Correct because income earned from investments accounted for under the FVPL method includes both dividend income as well as any gains or losses (realized or unrealized) from holding the investment shares during the accounting measurement period. For the current year, Astrid received €4 million in dividend income (€40 million $\times$ 10%) plus €7 million in unrealized holding gains (€970 million year-end market value $\times$ 10% = €97 million valuation for Ernst's shares in Astrid at year-end. Then, €97 million – €90 million beginning of the year market value for Ernst's shares in Astrid = €7 million unrealized gain).

44 Multiple Choice 0 / 1 point

At the end of the current year, Ernst's investment in Balto has a recorded balance of:

✓

☒ €523 million.

Correct Answer Feedback: Correct because under the equity method of accounting the investment balance in an associate at the end of an accounting period is determined by adding to the beginning balance, the proportionate amount of reported investee income earned (which is then adjusted for any amortization of excess purchase price that is attributable to tangible and identifiable intangible assets), less the proportionate amount of dividends received from the associate. Accordingly, for the investment in Balto, the proportionate amount of income earned is €33 million (€140 million $\times$ 25% = €35 million less the proportionate amount of additional depreciation expense from the undervalued equipment, or [€40 million $\div$ 5 years] $\times$ 25% = €2 million). The dividends received for the investment in Balto were €10 million (€40 million $\times$ 25%). Therefore, the investment balance in Balto at the end of the current year is €523 million (€500 million + €33 million – €10 million).

☐ €525 million.

Incorrect Answer Feedback: Incorrect because the additional depreciation expense for the undervalued equipment was improperly omitted in calculating the investment income and the year-end investment balance in Balto (€500 million + €35 million – €10 million = €525 million).

✗

☐ €533 million.

Incorrect Answer Feedback: Incorrect because the dividends received were not properly deducted from the investment account balance (€500 million + €33 million). Under the equity method of accounting, any dividends received from an associate are considered a reduction in the investment account.

45 Multiple Choice 0 / 1 point

If Ernst had presented its consolidated statements for Cordeau in the same manner as its primary competitor, it would have a higher:

☐ return on assets for the current year.

Incorrect Answer Feedback: Incorrect because the return on assets (Net income ÷ Average total assets) would be lower since average total assets would be higher under the full goodwill method. Net income is unaffected by the choice between the goodwill methods since goodwill is not amortized.

- ☐ total equity balance for the current year.

Correct Answer Feedback: Correct because under US GAAP, the full goodwill method must be applied, whereas under IFRS, either the partial or the full goodwill may be elected.

Accordingly, if Ernst had used the full goodwill method, the value of the non-controlling interest (NCI) would be equal to the non-controlling interest's proportionate share of the subsidiary's fair value. Therefore, the NCI under this method reflects a proportionate claim of the goodwill recognized as an asset on the balance sheet.

Under the partial goodwill method, the value of the NCI equals the non-controlling interest's proportionate share of the fair value of the subsidiary's identifiable net assets. Therefore, under this method, the NCI does not reflect a claim on the goodwill recognized as an asset on the balance sheet.

As a result, NCI under the full goodwill method is greater than under the partial goodwill method. When added to the equity of the parent, the consolidated total equity balance under the full goodwill method would be higher than if the partial approach were used.

- ☒ total asset turnover ratio for the current year.

Incorrect Answer Feedback: Incorrect because the total asset turnover ratio (Total revenue ÷ Total average assets) would be lower since average total assets would be higher under the full goodwill method. Total revenue is unaffected by the choice between the goodwill methods.

46 Multiple Choice 0 / 1 point

Upon acquiring a controlling ownership interest in Cordeau on 1 January, Ernst's pre-consolidation debt-to-assets ratio:

- ☐ decreased.

Correct Answer Feedback: Correct because total assets increased by €1,800 million for the pre-consolidation investment account balance in Cordeau (that is, the fair value of the net assets that Ernst paid for). Shareholders' equity also increased by €1,800 million because of the issuance of common shares to pay for the 75% ownership interest in Cordeau. The debt-to-assets ratio (Total debt ÷ Total assets) therefore decreased since total assets increased and total debt was unaffected.

- ☐ remained unchanged.

Incorrect Answer Feedback: Incorrect because this response assumes that the acquisition was made with cash (a typical form of payment for an acquisition). Under this scenario, total assets are increased by the €1,800 million pre-consolidation investment balance in Cordeau, but are then simultaneously decreased by the €1,800 cash payment to acquire the interest in Cordeau. The net effect on total assets is zero and the debt-to-assets ratio would then be unchanged.

- ☒ increased.

Incorrect Answer Feedback: Incorrect because the debt-to-assets ratio decreased. This response might occur if it is assumed that a €1,800 million cash payment was made to acquire the 75% ownership interest in Cordeau (thus decreasing total assets), but then forgetting that total assets are simultaneously increased by €1,800 million on Ernst's balance sheet for its pre-consolidation investment balance in Cordeau.

Vignette

Hannah Treadway is an analyst at Knight Investment Management (Knight). Knight holds Cooper Creek Cable Limited (CCCL) as part of its AFE (Australian and Far East) investment portfolio. CCCL is a diversified cable and communications company operating in Western Australia. The company consists of three divisions:

- Cable: Provides subscription television services and high speed internet to residential customers.
- Media: Owns and operates a group of radio stations and publishes several magazines.
- Wireless: Is engaged in wireless voice and data communications services.

Treadway is just starting her annual review of the company based on its most recent financial statements, excerpts of which are in Exhibits 1 and 2. The financial statements for CCCL are prepared in accordance with Australian Accounting Standards (AASB), which comply with IFRS. All figures are in Australian dollars (\$).

Exhibit 1 Cooper Creek Cable Limited Statement of Earnings for Years Ending December 31 (all figures in \$ thousands)

	2016	2015
Revenue	711,200	674,600
Programming and communication expenses	312,900	317,000
Gross margin	398,300	357,600
Depreciation expense	98,750	78,650
Amortization of intangibles	7,250	8,150
Reversal of impairment loss	-12,500	---
Gain on sale of assets held for sale	-14,400	---
Operating costs	185,900	173,000
Interest expense	64,100	65,900
Income from investments in associates	1,200	850
Profit before tax	70,400	32,750
Tax benefit (expense)	17,600	-8,187
Net profit for the year	88,000	24,563

Exhibit 2 Cooper Creek Cable Limited Balance Sheet as of December 31 (all figures in \$ thousands)

	2016	2015
Cash	95,600	74,400
Accounts receivable, net	35,700	33,500
Assets held for sale	---	23,500
Total current assets	131,300	131,400
Investments in associates	42,700	42,300
Capital assets, net	221,800	241,200
Intangible assets, net	43,250	24,500
Goodwill	11,000	6,500
Deferred tax assets	185,500	169,900
Total assets	635,550	615,800
Trade payables	92,100	104,200
Interest bearing loans	49,700	

Short-term unearned revenue	12,500	21,250
Other liabilities	23,800	23,000
Total current Liabilities	178,100	148,450
Interest bearing debt	703,800	814,300
Long-term unearned revenue	6,500	13,500
Total liabilities	888,400	976,250
Issued capital	556,400	536,800
Accumulated losses	–809,250	–897,250
Total equity	–252,850	–360,450
Total liabilities and equity	635,550	615,800

CCCL sustained substantial losses in its start-up period (2001–2005) (from which it is still benefiting for tax purposes) but has been profitable since 2005, reporting a record profit after tax in 2016. However, Treadway is wondering if CCCL's revenues in general are supported by cash flows and if the company might be trying to increase the appearance of profitability in order to increase the share price, which remains low.

The Wireless division was acquired by CCCL in a share purchase in late 2015. Treadway wants to review the accounting policies CCCL has adopted for both revenue and expenses incurred on long-term wireless contracts (Exhibit 3).

Exhibit 3 Excerpts of Accounting Policy Notes (all figures in thousands)

Note 1 d) Long-Term Wireless Contracts
Customers who enter into long-term service contracts for wireless services can obtain their mobile devices for a nominal amount. Commencing in 2016, the discount offered on the devices, relative to the regular price, is capitalized as a customer acquisition cost and amortized straight-line over the life of the contract, or a minimum of three years. Previously this amount was recognized in income immediately.
Note 1 g) Unearned Revenue
Unearned revenue for subscriptions, or for services paid in advance, was historically recognized on a straight-line basis over the term of the contract or subscription, which was typically three years. After reviewing the historical pattern of usage and cancellations for service contracts in 2016, the pattern of recognition was changed to recognize the majority of the revenues in the first 12 months after the service contract is signed with the remainder recognized in the following year.
Note 12) Broadcast Licenses
During 2016, the company successfully disposed of broadcast licenses that were held for sale for \$37,900 (net book value of \$23,500). Based on the successful completion of that sale the impairment losses taken in 2014 on other licenses have been reversed, restoring those intangible assets to their amortized historical cost. Broadcast licenses are amortized over a period of 15 to 25 years.

On reading the note about the rapid reversal of the impairment loss related to the Broadcast licenses (Exhibit 3, Note 12) Treadway strongly believes that it arose as an attempt by management to manage earnings. She realizes that both her 2014 and 2015 analyses were impacted by these actions and now need to be reconsidered.

As part of her annual review, Treadway determines the Altman's Z-scores for CCCL. The results for the current and past years are reported in Exhibit 4.

Exhibit 4 Cooper Creek Cable Limited Altman Z-Scores

	2016	2015
Altman Z-score*	2.14	1.82
* Critical values: 1.81 and 3.0		

Finally, Treadway noted that during 2016 CCCL acquired 100% of MusicMusic (MM), a specialty cable music channel in an all-stock deal. At the time of the acquisition MM reported intangible assets for broadcast licenses at a value of \$2,500. CCCL estimated the fair value of those licenses to be \$5,500 at that date and estimated the value of the MusicMusic brand name to be \$2,000, all figures in thousands. The acquisition did not give rise to any goodwill.

47 Multiple Choice 0 / 1 point

The cash received (in thousands) from CCCL's investments in associates in 2016 is *closest* to:

☐ \$400.

Incorrect Answer Feedback: Incorrect. It is just the change in the investment account: 42,700 – 42,300 = 400.

☒ \$800.

Correct Answer Feedback: Correct. Investments in associates are accounted for using the equity method. Only the dividends received from associate companies would be cash, not the amount reported as income from investments in associates. When using the equity method to account for an investment, the investment account on the balance sheet increases by the amount of accrued investment income recognized and decreases by the amount of dividends received. Therefore, analysis of the balance sheet account changes will solve for dividends (the cash):

Opening balance investment account	42,300
Plus investment income recognized (from Statement of Earnings)	+1,200
Deduct dividends received (solve for X)	-X
Closing balance investment account	42,700

Solving for X, dividends, and cash, received = \$800.

☐ \$1,200.

×

Incorrect Answer Feedback: Incorrect: It is the investment income from the income statement: 1,200.

48 Multiple Choice 0 / 1 point

Before the calculation of amortization expense, the increase in CCCL's intangible assets (in thousands) arising from the 2016 acquisition of MM is *closest* to:

☐ \$2,500.

Incorrect Answer Feedback: Incorrect. It is only the \$2,500 for the broadcast license recognized by MM. It ignores the unrecognized brand name



☒ \$4,500.

Incorrect Answer Feedback: Incorrect. It is the broadcast license at BV and the brand name at FV. The error is not revaluing the existing asset.



☐ \$7,500.

Correct Answer Feedback: Correct. CCCL acquired 100% of MM, therefore under IFRS it would use the acquisition method to account for the acquisition and the preparation of the consolidated financial statements. Under the acquisition method, CCCL would recognize the fair value of all of MM's identifiable tangible and intangible assets regardless of whether or not they were recognized on MM's balance sheet. Therefore, they would have added both the broadcast licenses and the brand name at fair value: $\$5,500 + 2,000 = \$7,500$.

Vignette

Dagmar AG is a European-based manufacturing firm that prepares its financial statements according to International Financial Reporting Standards (IFRS). Two members of Dagmar's treasury group, Henrik Ferdinand and Adele Christoph, are reviewing Dagmar's portfolio of investments. They are interested in the investment income reported during the year and whether any of the investments should be considered impaired or need to be reclassified.

On July 1 the company purchased €4,000 of 10-year bonds of Alme AG. The bonds have a 5% coupon payable annually and cost €3,705.60, reflecting the effective market rate of 6%. Dagmar is expecting to collect the interest and principal payments but if liquidity needs arise will sell the bonds. Ferdinand and Christophe start by reviewing how the bond is classified.

The company also holds bonds issued by Bergenfeld AG with a face value of €5 million and a coupon rate of 8%, payable semi-annually. The bonds have been held for 10 years and are classified as amortized cost.

The final investment is Dagmar's longstanding holding of Elbe AG common shares. Elbe has been profitable and paid a consistent dividend every year since it was acquired. Additional details are available in Exhibit 1.

Exhibit 1 Additional Information Investment in Elbe AG (All € figures in 000s except per share data)

At the date of acquisition (February 28, 2008)	
# shares purchased	1.8 million
Total shares outstanding	6.0 million
Price paid	€17 per share
Total net book value of Elbe	€90,000
Excess of fair market value of plant and equipment above book value	€5,250
Expected useful life remaining on plant and equipment	15 years
Elbe uses straight-line depreciation for all of its tangible assets	
Dagmar classified Elbe as an associate company	
At December 31, 2019	
Book value of investment on Dagmar's statement of financial position	€59,022
Net income reported by Elbe for 2019	€12,375
Dividends paid by Elbe in 2019	€0.50 per share

Ferdinand continues the meeting with the following statement:

"Before we consider impairment, let us calculate the amount Elbe will contribute to Dagmar's net earnings this year."

Turning to the Bergenfeld bonds, Christoph says:

"If we're looking for contributions to net earnings, I see an opportunity with the Bergenfeld bonds. The decline in interest rates over the years since the original purchase has significantly increased their market value. IFRS allows us to reclassify these bonds to fair value as a way to increase reported income in the period. It works well because the standards don't require us to restate the prior periods when we reclassify."

49 Multiple Choice 1 / 1 point

The *least* appropriate classification for the investment in the Alme bonds is:

☒ amortized cost.

Correct Answer Feedback: Correct. Investments in a bond can be classified as amortized cost if it meets the two criteria; business model test and cash flow characteristic test. But if the asset may be sold prior to collecting all the contractual cash flows, as is Dagmar's intent, it should be measured using one of the two fair value methods.

☐ fair value through profit and loss.

Incorrect Answer Feedback: Incorrect. Because Dagmar's intent is to sell the asset prior to collecting all the contractual cash flows if it requires liquidity, the bond may be measured at Fair value through profit and loss.

☐ fair value through other comprehensive income.

Incorrect Answer Feedback: Incorrect. Because Dagmar's intent is to sell the asset prior to collecting all the contractual cash flows if it requires liquidity the bond it may be measured at Fair value through other comprehensive income.

50 Multiple Choice 0 / 1 point

The contribution to Dagmar's 2019 net earnings (in thousands) from its investment in Elbe is *closest* to:

☒ €3,607.5.

Correct Answer Feedback: Correct. Dagmar would use the equity method to account for its investment in Elbe because of its classification as an associate company. Therefore, Dagmar will include its proportionate share of Elbe's net earnings, minus the amortization of the excess purchase price from the initial acquisition. Dagmar owns 30%: (1.8/6.0, in millions of shares) of Elbe.

	Calculations	
Percentage of Elbe's net income (in thousands)	$30\% \times €12,375$	€3,712.5
Minus amortization of the excess value (in thousands) of tangible assets at acquisition (from Exhibit 1)	$€5,250 \times 30\% = €1,575$ $€1,575 / 15 \text{ years}$	-€105.0
Investment income (in thousands) from Elbe in 2019		€3,607.5

☐ €3,712.5.

Incorrect Answer Feedback: Incorrect because it does not include the amortization of the excess purchase price amount, just the % of net income: 3,712.5.

☐ €4,507.5.



Incorrect Answer Feedback: Incorrect because it also includes the dividends received from Elbe as income; they would be a reduction of the investment account on the balance sheet under the equity method: $3,607.5 + 900 = 4,507.50$.

51 Multiple Choice 0 / 1 point

Which of the following *best* describes the accounting for goodwill in the Elbe investment?

- ☐ There is no goodwill arising from the Elbe investment

Incorrect Answer Feedback: Incorrect because the equity method incorporates goodwill as part of the investment account reported on the balance sheet.

- ☒ €2,025,000 included in the investment in Elbe account

Correct Answer Feedback: Correct. Under the equity method, goodwill is calculated at the date of acquisition and included in the carrying amount of the investment. Using data in Exhibit 1:

Acquisition calculation		
Price per share	€17.00	
Number of shares	× 1,800,000	
Total price paid for 30%	€30,600,000	
30% of net book value of Elbe	€27,000,000	(0.30 × €90,000,000)
Excess purchase price paid	€3,600,000	
Less: Allocated to plant and equipment	(€1,575,000)	(0.30 × €5,250,000)
Goodwill	€2,025,000	



- ☐ €3,600,000 included in the investment in Elbe account

Incorrect Answer Feedback: Incorrect because it fails to allocate any of the purchase price excess to the plant and equipment.

52 Multiple Choice 1 / 1 point

Christoph's comments about reclassifying the Bergenfeld bonds are *best* described as:

- ☐ both correct.

Incorrect Answer Feedback: Incorrect. Christoph is correct with respect to the restatement or prior periods, but not with respect to the rationale for reclassification. Reclassification of debt instruments is only permitted if the business model for the financial assets (objective for holding the financial assets) has changed in a way that significantly affects operations.

- ☒ correct with respect to the effects on prior periods.

Correct Answer Feedback: Correct. Christoph is correct with respect to his comments on the restatement of prior periods. When financial assets are reclassified there is no restatement of prior periods at the reclassification date.

- ☐ correct with respect to the rationale for reclassification.

Incorrect Answer Feedback: Incorrect. Christoph is not correct with respect to the rationale for reclassification. Reclassification of debt instruments is only permitted if the business model for the financial assets (objective for holding the financial assets) has changed in a way that significantly affects operations.

Vignette

Nation Resorts Ltd (Nation) is a US-based operator of destination vacation resorts. Resorts are divided into three types: Winter, which are located at ski mountains; Golf, which are located on championship courses in such locations as Arizona; and Seaside, which are located at world-class ocean beaches. The three types of resorts generally attract different types of vacationers and provide different vacation packages for different budgets. Although the Winter and Golf resorts are somewhat counter seasonal, the company still suffers from risks related to the US economy, as well as the risk of unfavorable local weather conditions (lack of snow or sun). To diversify and reduce these risks, Nation started purchasing properties in other geographic areas, including Europe and Central America.

Nation made its first non-domestic investment when it bought a resort in Jamaica on 1 May 2008. Initially, Nation provided managers to assist in operating the resort but then hired local Jamaicans into its management development program, one of whom was recently appointed to a senior position at the resort. Nation invested in building and upgrading facilities, with the initial expansion financing provided by Nation's US bank. Concerned about the high rate of inflation in Jamaica, which at the time of purchase averaged 20% per year over the previous three years, Nation kept any excess funds in US dollars. The company's vacation packages are sold primarily in the United States, and its prices reflect competitive conditions in the US vacation market. In 2010, the Jamaican resort used local labor and supplies and was profitable for the first time. In addition, by that time, inflation had declined to 14% per year, and Nation expected to be able to reinvest any profits in the resort and start using a local bank for ongoing financing needs.

On 1 July 2010, Nation acquired its first European resort, Val Blanc SA, a ski resort in the Alps region of France. Nation paid €28 million for 100% of the company. The resort attracts skiers primarily from France and other European countries. The transition went very well, and Nation left the local managers in place to make all operating and financial decisions. By the end of 2011, Nation's only financial contribution to the resort was the initial equity investment. Exhibit 1 shows financial statements for the ski resort at acquisition and for the following six months.

Exhibit 1 Val Blanc Financial Statements (€ thousands)

	Income Statement	
	31 Dec. 2010 (6 months)	30 Jun. 2010 (12 months)
Resort revenues	12,025	46,805
Operating expenses	9,800	35,105
Depreciation and amortization	1,750	4,000
Interest expense	1,200	2,500
Earnings before taxes	-725	5,200
Income taxes	0	1,300
Net earnings	-725	3,900
	Statement of Financial Position	
	31 Dec. 2010	30 Jun. 2010^a
Cash and marketable securities	5,750	5,000
Accounts receivable	6,500	3,000
Inventory	8,000 ^b	5,000
Total current assets	20,250	13,000
Property, plant, and equipment	41,750	43,500
Intangible assets	5,000	5,000
Total assets	67,000	61,500
Current liabilities	12,225	5,000
Long-term debt	26,000	27,000

Share capital	20,000	20,000
Retained earnings	8,775	9,500
Total liabilities and equity	67,000	61,500
^a The 30 June 2010 Statement of Financial Position reflects the fair value of the identifiable assets and liabilities of Val Blanc at acquisition.		
^b The 31 December 2010 inventory was acquired evenly throughout the period since acquisition.		

In early January 2011, Paul Nakiska, a business analyst with Nation, met with Nation's manager of financial reporting, Max Chara, to discuss how the company should account for the two non-domestic resorts in the 2010 financial statements and the impact the resorts would have on Nation's reported results. Nation has a 31 December year end and prepares its financial statements according to US GAAP.

In preparation for the meeting, Nakiska's first task was to prepare the purchase price allocation of the Val Blanc acquisition using the acquisition method. He also gathered some exchange rate information related to the two resorts, shown in Exhibit 2.

Exhibit 2 Selected Exchange Rates

Date	USD/JMD	USD/EUR
5/1/2008	0.0139	N/A
1/1/2010	0.0115	1.4368
6/30/2010	0.0117	1.225
12/31/2010	0.0117	1.3261
Average 2010	0.0115	1.3277
Average January–July 2010	0.0113	1.3303
Average July–December 2010	0.0117	1.3198

Nakiska started the meeting:

"I suggest we use the current rate method for both our non-domestic subsidiaries because that will simplify our financial reporting. The current rate method also allows the key metrics we use to evaluate performance—the current ratio, fixed asset turnover, and operating margin—to be the same after translation as they are before."

Chara replied:

"I am not so concerned about the translated metrics because we evaluate the performance of each resort in its local currency. I am concerned, however, about the effect on Nation's consolidated net income and return on equity.

If we use the temporal method for the resort in France, we can take advantage of the strengthening euro and report the translation gain on the income statement.

I am also not concerned about using the same method for all subsidiaries if using different methods will help increase our net income.

Nakiska agreed to calculate the effects of the various translation methods and of the Val Blanc acquisition on the financial statements and send a report to Chara.

53 Multiple Choice 0 / 1 point

Prior to translating the subsidiary's financial statements, Nakiska's allocation of the Val Blanc acquisition purchase price *most likely* resulted in which of the following for Nation?

☐ A gain of €1,500



Correct Answer Feedback: Correct. The acquisition was a bargain purchase for Nation:

Price paid for 100%	€28 million
Fair value of the net assets (€ thousands)	29,500
Share capital + Retained earnings = 20,000 + 9,500	
Negative goodwill	–€1,500

Negative goodwill is recognized immediately as a gain in profit or loss.



☒ Goodwill of €8,000

Incorrect Answer Feedback: Incorrect. It uses only the share capital for the net book value acquired and forgets to include retained earnings: $28 - 20 = 8$ goodwill.

☐ An increase in retained earnings of €9,500

Incorrect Answer Feedback: Incorrect. It is the retained earnings of Val Blanc at acquisition, but those retained earnings do not carry forward on the consolidated financial statements—only earnings after acquisition accrue to the parent company.

Vignette

Marcus Eriksson, chief financial officer of Trana AB, and Katrina Lars, director of financial reporting, are preparing the company's 2015 annual report. Today's meeting is to discuss the transactions and disclosures related to Trana's foreign operations. Trana, which reports under International Financial Reporting Standards (IFRS), is a Sweden-based retailer operating stores in three geographic locations: Sweden, the eurozone (with a current presence only in France, Germany, and Italy), and the United States. The stores in the eurozone and the United States are operated through a wholly owned subsidiary in each region. Consistent with Swedish accounting practice, the annual report includes separate financial statements for the parent company (Trana) and consolidated, or group, financial statements. The income statements are presented in Exhibit 1.

Exhibit 1 Trana AB Income Statements for the Years Ended 31 December

	Consolidated Income Statement (SEK millions)		Parent Income Statement (SEK million)	
	2015	2014	2015	2014
Sales	30,200	26,892	4,700	4,653
Cost of goods sold	13,590	12,639	2,600	2,650
Gross profit	16,610	14,253	2,100	2,003
Selling expenses	10,872	9,143	1,500	1,525
Admin. expenses	1,510	1,076	260	200
Operating profit	4,228	4,034	340	278
Net other costs/losses	10	15	2	3
Earnings before taxes	4,218	4,019	338	275
Income taxes	1,122	1,071	74	61
Net profit	3,096	2,948	264	214

Eriksson and Lars start the meeting by reviewing some of the relevant currency exchange rates, shown in Exhibit 2. The functional currency for the eurozone and US subsidiaries is the local currency (EUR and USD, respectively), thus the financial statements of both are translated using the current rate method. Both subsidiaries are consistently profitable.

Exhibit 2 Exchange Rates

	SEK per	SEK per
--	---------	---------

	EUR	USD
Beginning 2014	8.43	6.32
Average 2014	8.555	6.35
End of 2014	8.88	6.38
Average 2015	9.125	7.595
End of 2015	9.31	8.81

Next, they review the performance and related disclosures by region. The number of stores operated in each region is shown in Exhibit 3.

Exhibit 3 Number of Stores by Region

Year	Eurozone	Sweden	United States	Total
2014	340	99	80	519
2015	400	100	80	580

In preparation for the meeting, Lars looked at the US region and calculated the effect of the change in the SEK/USD exchange rate on the increase in sales from 2014 to 2015. Her notes include the following:

- In 2014, the sales per store, in SEK, were the same for both US and Swedish stores.
- The sales per US store in USD remained constant in 2015.

Eriksson reminds Lars that Trana defines organic growth in retail as coming from two factors:

1. increasing the number of stores, and
2. increasing the sales per store in the local currency.

He says that he wants to provide disclosures related to the organic growth rate in domestic sales per store, by region, and asks Lars to calculate it for the eurozone region where the sales figures (in millions) were SEK18,394 in 2014 and SEK21,640 in 2015.

In 2012, at the start of Trana's expansion into North American markets, the company established a subsidiary, Anart Inc., in a South American country to benefit from lower labor and shipping costs. The details of the Anart investment are as follows:

- Anart is 80% owned by Trana with 20% local investment.
- It sells all of its production to Trana and Trana's other subsidiaries and determines the transfer price as full cost plus 5%.
- In 2015, sales (in millions) from Anart to Trana companies were SEK4,485 with net profit of SEK204.
- The corporate tax rate in the country is 10%.

Throughout 2013, the South American country experienced high rates of inflation, approaching 30% per year. Trana had originally assumed that the high inflation rate was temporary, but it has shown no signs of decreasing and is now a concern. Eriksson and Lars discuss the impact of Anart on Trana's financial statements and Eriksson asks Lars:

"Is the same accounting method being used this year to account for Anart in the consolidated financial statements as in prior years?"

Eriksson reminds Lars that there is a proposal in Sweden to reduce the corporate tax rate from the current 22% to 16.5%. He would like to provide pro-forma disclosures related to the potential change in net income this change could provide for Trana. He reminds Lars that the average tax

rate for the eurozone countries where Trana operates is 30% and 25% in the United States. Sweden operates under a tax treaty with all countries in which it has subsidiaries, such that it will owe taxes on foreign earned income to the extent that the Swedish rate exceeds the foreign rate.

In closing the meeting, Eriksson mentions that Trana is undertaking a comprehensive review of its operations in 2016, and its objectives include reducing overall tax costs by lowering its effective tax rate and reducing foreign exchange gains and losses reported on the income statement.

54 Multiple Choice 0 / 1 point

The *best* estimate of the proportion of Anart's sales that is reflected in Trana's consolidated income statement is:

☐ 0%.



Correct Answer Feedback: Correct. Trana owns 80% of Anart. Because this is a controlling interest, Trana would consolidate Anart into the group financial statements. Even though Trana owns only 80%, consolidation requires the inclusion of 100% of the subsidiary's assets, liabilities, revenues, and expenses (excepting intercompany sales, which are eliminated on consolidation to prevent double counting). Therefore, because Anart sells all of its production to Trana and Trana's other subsidiaries, none of Anart's sales would be included in the consolidated income statement.

☐ 80%.

Incorrect Answer Feedback: Incorrect. Even though Trana only owns 80%, consolidation requires 100% inclusion of the subsidiary's assets, liabilities, revenues, and expenses. Intercompany sales (here 100%), however, must be eliminated.

☒ 100%.



Incorrect Answer Feedback: Incorrect. Even though Trana only owns 80%, consolidation requires 100% inclusion of the subsidiary's assets, liabilities, revenues, and expenses. Intercompany sales (here 100%), however, must be eliminated.